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WORKING PAPER 0 · THE LEAP

# THE SECOND LEAP.

Why leadership is the architectural condition of AI adoption — not an accompanying measure.



# FOUR DECADES.

Factories swapped the steam engine for one large electric motor — and left the line shafts, belts and the arrangement of the machines as they were.

**The productivity gain did not materialize.**

It came only when unit drives made it possible to rebuild the factory around the flow of work.

Roughly four decades lay between the first power station and the measurable surge.

David, P. (1990): The Dynamo and the Computer. American Economic Review 80(2).  
Brynjolfsson, Rock & Syverson (2021) generalize the finding.

# PERFECT, BUT UNABLE TO LEARN.



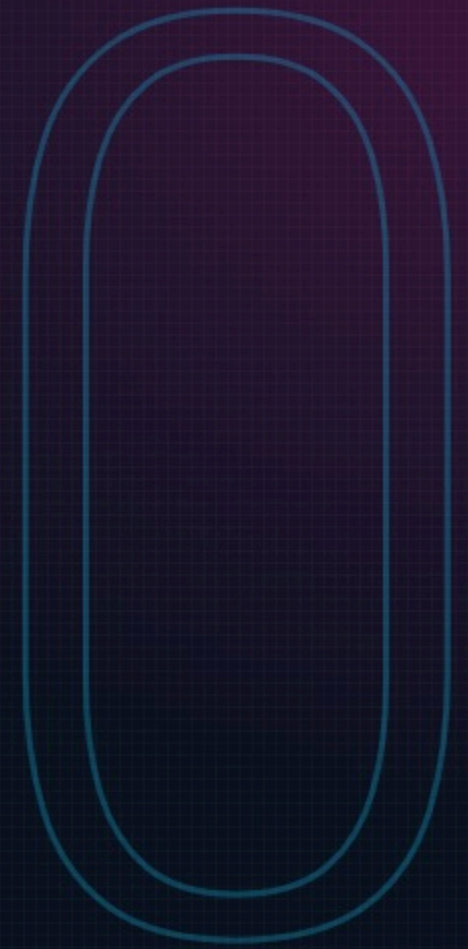
Cazzani measures pragmatic intelligence as **efficiency times context breadth**. A crystal reduces disorder with perfect efficiency — in exactly one context. Breadth zero, overall value zero.

**"Breadth isn't a bonus. It's a gate."**

Across four test domains the most efficient agent ranks only fourth on the overall measure. Transferred: the most efficient unit in your company may well be the least intelligent one — because its efficiency hangs on a single context.

Cazzani, D.: Efficient Entropy Reduction as a Substrate-Independent Measure of Pragmatic Intelligence. Conference poster, 19th Conference on Artificial General Intelligence (AGI-26), San Francisco State University, 27–30 July 2026.

# THE FREEZE.



If AI drives decision speed beyond human verification capacity, **inaction can become the best option for rational actors.**

When verifying a recommendation costs more than its expected benefit, both stop: the verifying and the acting. Orban calls this the **Freezing Equilibrium.**

Orban, D.: AGI-26, LNCS 16855, pp. 118–136. 19th Conference on Artificial General Intelligence (AGI-26), San Francisco State University, 27–30 July 2026.

# THE DEVICE SEES MORE. THINGS ARE LOST AT THE SAME PLACE.

A hospital buys an imaging device that sees findings no radiologist sees. The handover between shifts remains a **note taped to a monitor**.

The capability has grown. The path along which it would have to arrive has stayed the same.

# WHO LEADS IN BAR 48?

An orchestra does not get better because you hire the best violinist in the world. It gets better when everyone **reads the same score**, hears one another and knows **who leads in bar 48**.

The violinist is the capability. The score is the connection.

# THE FOUR FUNCTIONS.

01

Context — what situation are we in, and what do our terms mean here?

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02

Relevance — which signal belongs at which level?

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03

Feedback — does the system learn what its actions brought about?

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04

Continuity — does the current state outlast time, meetings and people?

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Derived from AGI research and organizational research: March & Simon 1958, Nelson & Winter 1982, Weick & Roberts 1993. A structural analogy asserts sameness of function, not of material.

# NO BIGGER BRAIN. A NERVOUS SYSTEM.

An organization gains only as much general intelligence from artificial intelligence as its leadership architecture maintains **context, relevance, feedback and continuity** between its specialized capabilities.

Where it is missing, AI scales the organization's existing maturity — **including its immaturity.**

The model is the violinist. LEAD21 is the score, the listening, the leading — the **connection layer**, not the capability.

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NEXT

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**Gerald Huesch** — developer of LEAD21, the Leadership OS. Has trained over 30,000 leaders in 30+ countries, including NASA and Rolls-Royce.

All eight papers: [gerald-huesch.com/press-en](https://gerald-huesch.com/press-en)